

SECURITIES, BONDS, EQUITY, DERIVATIVES AND INVESTMENT FUNDS

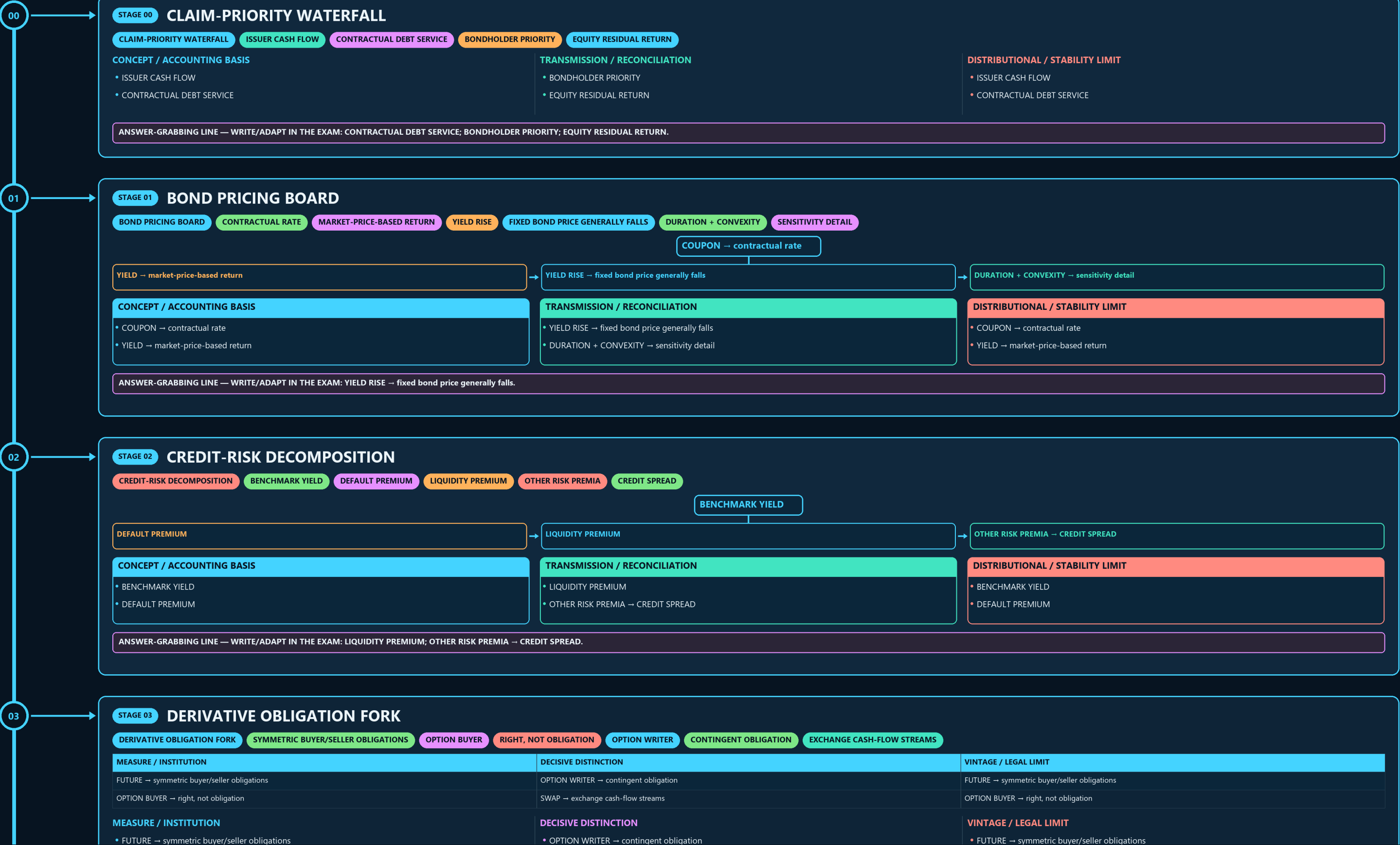
CLAIM-PRIORITY WATERFALL → BOND PRICING BOARD → CREDIT-RISK DECOMPOSITION → DERIVATIVE OBLIGATION FORK → PURPOSE TEST → CLEARING AND LEVERAGE RAIL

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIQUIDITY PREMIUM; OTHER RISK PREMIA → CREDIT SPREAD.

03

STAGE 03 DERIVATIVE OBLIGATION FORK

DERIVATIVE OBLIGATION FORK SYMMETRIC BUYER/SELLER OBLIGATIONS OPTION BUYER RIGHT, NOT OBLIGATION OPTION WRITER CONTINGENT OBLIGATION EXCHANGE CASH-FLOW STREAMS

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
FUTURE → symmetric buyer/seller obligations	OPTION WRITER → contingent obligation	FUTURE → symmetric buyer/seller obligations
OPTION BUYER → right, not obligation	SWAP → exchange cash-flow streams	OPTION BUYER → right, not obligation
MEASURE / INSTITUTION - FUTURE → symmetric buyer/seller obligations - OPTION BUYER → right, not obligation	DECISIVE DISTINCTION - OPTION WRITER → contingent obligation - SWAP → exchange cash-flow streams	VINTAGE / LEGAL LIMIT - FUTURE → symmetric buyer/seller obligations - OPTION BUYER → right, not obligation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OPTION WRITER → contingent obligation; SWAP → exchange cash-flow streams.

04

STAGE 04 PURPOSE TEST

PURPOSE TEST PRE-EXISTING EXPOSURE? HEDGE SIZE AND TENOR SPECULATIVE EXPOSURE SAME CONTRACT CAN REDUCE OR ENLARGE RISK

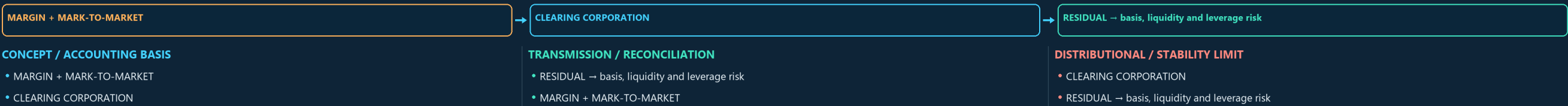


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NO → speculative exposure; SAME CONTRACT can reduce or enlarge risk.

05

STAGE 05 CLEARING AND LEVERAGE RAIL

CLEARING AND LEVERAGE RAIL MARGIN + MARK-TO-MARKET CLEARING CORPORATION BASIS, LIQUIDITY AND LEVERAGE RISK



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLEARING CORPORATION; RESIDUAL → basis, liquidity and leverage risk.

06

STAGE 06 POOLED-VEHICLE MAP

POOLED-VEHICLE MAP MUTUAL FUND POOLED MANDATE + NAV EXCHANGE-TRADED FUND UNIT PRIVATELY POOLED CATEGORY FRAMEWORK INFRASTRUCTURE CASH FLOWS

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
MUTUAL FUND → pooled mandate + NAV	AIF → privately pooled category framework	MUTUAL FUND → pooled mandate + NAV
ETF → exchange-traded fund unit	REIT / InvIT → property / infrastructure cash flows	ETF → exchange-traded fund unit
MEASURE / INSTITUTION - MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit	DECISIVE DISTINCTION - AIF → privately pooled category framework - REIT / InvIT → property / infrastructure cash flows	VINTAGE / LEGAL LIMIT - MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows

06

STAGE 06 POOLED-VEHICLE MAP

POOLED-VEHICLE MAP MUTUAL FUND POOLED MANDATE + NAV EXCHANGE-TRADED FUND UNIT PRIVATELY POOLED CATEGORY FRAMEWORK INFRASTRUCTURE CASH FLOWS

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
MUTUAL FUND → pooled mandate + NAV	AIF → privately pooled category framework	MUTUAL FUND → pooled mandate + NAV
ETF → exchange-traded fund unit	REIT / InvIT → property / infrastructure cash flows	ETF → exchange-traded fund unit
MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
- MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit	- AIF → privately pooled category framework - REIT / InvIT → property / infrastructure cash flows	- MUTUAL FUND → pooled mandate + NAV - ETF → exchange-traded fund unit

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REIT / InvIT → property / infrastructure cash flows.

07

STAGE 07 ACCESS INSTRUMENTS BOARD

ACCESS INSTRUMENTS BOARD OFFSHORE INSTRUMENT VIA REGISTERED FPI INFLATION-LINKED PAYOUT OR PRINCIPAL DEBT WITH EQUITY CONVERSION TERMS RELATIVE MARKET VOLATILITY

P-NOTE → offshore instrument via registered FPI

IIB → inflation-linked payout or principal	→ CONVERTIBLE → debt with equity conversion terms	→ BETA → relative market volatility
MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
- P-NOTE → offshore instrument via registered FPI - IIB → inflation-linked payout or principal	- CONVERTIBLE → debt with equity conversion terms - BETA → relative market volatility	- P-NOTE → offshore instrument via registered FPI - IIB → inflation-linked payout or principal

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVERTIBLE → debt with equity conversion terms; BETA → relative market volatility.

08

STAGE 08 TOKENISATION BOUNDARY

TOKENISATION BOUNDARY UNDERLYING REAL-WORLD ASSET DIGITAL TOKEN REPRESENTATION ACCESS MAY BECOME FRACTIONAL TITLE + CUSTODY + DISCLOSURE REMAIN DECISIVE

UNDERLYING REAL-WORLD ASSET

DIGITAL TOKEN REPRESENTATION	→ ACCESS may become fractional	→ TITLE + CUSTODY + DISCLOSURE remain decisive
MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
- UNDERLYING REAL-WORLD ASSET - DIGITAL TOKEN REPRESENTATION	- ACCESS may become fractional - TITLE + CUSTODY + DISCLOSURE remain decisive	- UNDERLYING REAL-WORLD ASSET - DIGITAL TOKEN REPRESENTATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCESS may become fractional; TITLE + CUSTODY + DISCLOSURE remain decisive.

09

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY GREEN BOND ENVIRONMENTAL PROJECTS SOCIAL BOND SOCIAL PROJECTS SUSTAINABILITY BOND LABEL DOES NOT ELIMINATE CREDIT RISK

GREEN BOND → environmental projects

SOCIAL BOND → social projects	→ SUSTAINABILITY BOND → both	→ LABEL does not eliminate credit risk
CONCEPT / ACCOUNTING BASIS	TRANSMISSION / RECONCILIATION	DISTRIBUTIONAL / STABILITY LIMIT
- GREEN BOND → environmental projects - SOCIAL BOND → social projects	- SUSTAINABILITY BOND → both - LABEL does not eliminate credit risk	- GREEN BOND → environmental projects - SOCIAL BOND → social projects

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY BOND → both; LABEL does not eliminate credit risk.

09

STAGE 09 USE-OF-PROCEEDS TAXONOMY

USE-OF-PROCEEDS TAXONOMY GREEN BOND ENVIRONMENTAL PROJECTS SOCIAL BOND SOCIAL PROJECTS SUSTAINABILITY BOND LABEL DOES NOT ELIMINATE CREDIT RISK

GREEN BOND → environmental projects

SOCIAL BOND → social projects

→ SUSTAINABILITY BOND → both

→ LABEL does not eliminate credit risk

CONCEPT / ACCOUNTING BASIS

- GREEN BOND → environmental projects
- SOCIAL BOND → social projects

TRANSMISSION / RECONCILIATION

- SUSTAINABILITY BOND → both
- LABEL does not eliminate credit risk

DISTRIBUTIONAL / STABILITY LIMIT

- GREEN BOND → environmental projects
- SOCIAL BOND → social projects

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY BOND → both; LABEL does not eliminate credit risk.

10

STAGE 10 INVESTOR-PROTECTION STACK

INVESTOR-PROTECTION STACK DISCLOSURE + PRODUCT LABELLING REGISTERED ADVISERS + INTERMEDIARIES MARGIN + SETTLEMENT + GRIEVANCE BUSINESS AND MARKET LOSS REMAIN

DISCLOSURE + PRODUCT LABELLING

REGISTERED ADVISERS + INTERMEDIARIES

→ MARGIN + SETTLEMENT + GRIEVANCE

→ LIMIT → business and market loss remain

CONCEPT / ACCOUNTING BASIS

- DISCLOSURE + PRODUCT LABELLING
- REGISTERED ADVISERS + INTERMEDIARIES

TRANSMISSION / RECONCILIATION

- MARGIN + SETTLEMENT + GRIEVANCE
- LIMIT → business and market loss remain

DISTRIBUTIONAL / STABILITY LIMIT

- DISCLOSURE + PRODUCT LABELLING
- REGISTERED ADVISERS + INTERMEDIARIES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MARGIN + SETTLEMENT + GRIEVANCE; LIMIT → business and market loss remain.

11

STAGE 11 SECURITIES ANSWER SPINE

SECURITIES ANSWER SPINE CLASSIFY CLAIM AND CASH-FLOW PRIORITY MAP LIQUIDITY PROMISE AND LEVERAGE TRACE REGULATOR AND SETTLEMENT MATCH INSTRUMENT TO INVESTOR EXPOSURE

CLASSIFY claim and cash-flow priority

→ MAP liquidity promise and leverage

→ TRACE regulator and settlement

→ MATCH instrument to investor exposure

CONCEPT / ACCOUNTING BASIS

- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

TRANSMISSION / RECONCILIATION

- TRACE regulator and settlement
- MATCH instrument to investor exposure

DISTRIBUTIONAL / STABILITY LIMIT

- CLASSIFY claim and cash-flow priority
- MAP liquidity promise and leverage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE regulator and settlement; MATCH instrument to investor exposure.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT DURATION AND CONVEXITY EXPLAIN BOND-PRICE SENSITIVITY BEYOND THE SIMPLE CREDIT SPREAD COMPENSATES FOR DEFAULT, LIQUIDITY AND RISK-PREMIUM COMPONENTS OPTION VALUE DEPENDS ON THE UNDERLYING, STRIKE, TIME, VOLATILITY

FUND STRUCTURE CHANGES LIQUIDITY TRANSFORMATION OPEN-ENDED REDEMPTION PROMISES CAN INDEX INVESTING REDUCES SECURITY-SELECTION COSTS BUT MAY CONCENTRATE FLOWS TOKENISATION CAN FRACTIONALISE CLAIMS, YET LEGAL TITLE, CUSTODY, SETTLEMENT

OPTIONAL MODEL / MEASUREMENT DEPTH

- CAUTION: Duration and convexity explain bond-price sensitivity beyond the simple inverse yield
- CAUTION: Credit spread compensates for default, liquidity and risk-premium components over a
- CAUTION: Option value depends on the underlying, strike, time, volatility and rates; leverage
- CAUTION: Fund structure changes liquidity transformation: open-ended redemption promises can

VINTAGE, BASKET OR LEGAL LIMIT

- CAUTION: Index investing reduces security-selection costs but may concentrate flows in index
- CAUTION: Tokenisation can fractionalise claims, yet legal title, custody, settlement finality
- SEBI: regulates listed securities, mutual funds, AIFs, intermediaries and market
- Stock exchanges and clearing corporations: conduct trading, margins, clearing and

COMPARATIVE POLICY NUANCE

- RBI: manages government-securities market architecture and specified interest-rate
- Trustees, custodians and asset-management companies: separate fund assets, oversight
- CAUTION: A fixed-rate bond loses market value when comparable yields rise because its promised
- CAUTION: A call-option buyer has a right, while the writer carries a contingent obligation

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.